

Galascope Critical Red Lines — Lighthief Response

Ref: LCY-EPC-GAL-B1-2026 · Responding to: "Galascope Red Lines.docx" (client-feedback-v6.5, received 17 Sep 2026)

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This document responds directly to the two critical red lines raised in "Galascope Red Lines.docx" (System Compliance to DSO/TSO Technical Requirements; Battery Warranty Nullification), and consolidates our position on the related escalations raised separately in the T0c client redraft of the EPC Agreement. It is structured as a request/counter matrix so each item can be tracked to resolution.

1. The two critical red lines

1.1 System Compliance to DSO/TSO Technical Requirements

Client's request: Lighthief bears responsibility for BESS compliance with DSO/TSO technical requirements and liaison with the DSO/TSO/local experts; Lighthief is fully liable for any refusal to connect, delays, cost of amendments and warranty implications; full refund option or other Galascope-acceptable remedies.

Our position: The compliance responsibility itself is already correctly allocated to the Contractor (EPC §19.11(b); Schedule A). We do not accept an open-ended "fully liable / full refund" formulation, as this has no basis in bankable EU BESS EPC market practice and is not fully insurable (see §3 below). We propose a new EPC §19.11A – Grid Compliance Warranty:

"The Contractor warrants that the BESS, as designed and delivered, complies with the DSO/TSO technical requirements applicable at the Order Date. If the DSO/TSO refuses connection on grounds attributable to the Contractor's non-compliant design or equipment, the Contractor shall, at its own cost and within ninety (90) days of notice, rectify or re-engineer the non-compliant element(s) to achieve compliance. If not cured within that period, the Client may terminate this Agreement as to the affected Park and recover amounts paid in respect of the non-compliant scope, together with Delay Liquidated Damages accrued under Section 8.4 for the resulting delay, subject always to the caps in Section 13.2. This Section 19.11A does not apply where the refusal arises from a change in DSO/TSO requirements after the Order Date, grid-capacity constraints outside the Contractor's control, or any act or omission of the Client."

1.2 Battery Warranty Nullification

Client's request: bar Force Majeure, any battery-warranty-nullification event is Lighthief's sole responsibility (Lighthief controls DISPERON/EMS and provides the LTSA); financial assurance for the full Total Contract Value (€3,462,849.40) and/or alternative remedies fully acceptable to Galascope.

Our position: The EMS-malfunction and Force Majeure carve-outs the client's logic relies on already exist (EPC §10.5(ii)/§10.5A, §10.5(iii), §12.6). We do not accept folding this into the general liability cap at 100% of Contract Price — no bankable EU BESS EPC prices warranty-performance risk that way, and it is not an

insurable risk (liability insurance does not fund a contractor's own warranty replacement cost). Instead we offer a bonding-based package that closes the real gap without an open-ended liability:

- Widen the Lighthief International Ltd parent-company undertaking (EPC §16.3B / Schedule D) trigger from insolvency-only to: insolvency OR a final, binding court/arbitral determination of an uncured material breach, 10 Business Days after that determination — still capped to the §13 limits.
- Raise the LTSA §14.2 liability cap from 24 months of Service Fees (≈€104,400) to 50% of cumulative Service Fees paid as at the date of claim — consistent with the EPC §13.2(b) 50% tier.
- Add a carve-out to LTSA §8.5(e) so the Response-Time sole-remedy clause does not shield a breach that directly caused a warranty-voiding event.
- Increase Contractor Professional Indemnity insurance from €2,000,000 to €5,000,000 per occurrence.

2. Request & Counter Matrix — full round (includes T0c escalations)

#	Client request (T0c / Red Lines memo)	Our counter	Status
1	DSO/TSO refusal to connect: full liability, full refund	New §19.11A Grid Compliance Warranty — rectify at cost, capped remedy (see §1.1)	New clause — counter
2	Battery warranty: sole responsibility + financial assurance for full TCV (€3,462,849.40)	Widen Schedule D trigger + raise LTSA §14.2 cap to 50% of Service Fees paid (see §1.2)	Counter — bonding-based alternative
3	EPC §13.2(a) own-scope cap: 10% → 50%	Hold at 10%, or 15% maximum as a visible concession	Counter — hold near current
4	EPC §13.2(b) other-breaches cap: 50% → 100% (full TCV)	Hold at 50% — already top of 20–50% market range	Counter — reject increase
5	EPC §13.3A: remove 2-yr latent-defect sunset; add cyber, IP, recalls, systemic defects as uncapped	Accept only where a matching insurance/bond product exists and is quoted; otherwise a high but finite cap	Counter — conditional, pending quotes
6	EPC §1A: 'Conditions Satisfaction Notice' — no obligation/payment/order until Client issues it; unconditional 14-day full refund, cost-waiver	Reject the optionality restructuring; hold existing objective CP/refund structure	Reject — hold current structure
7	EPC §7.4A Set-off: uncapped,	20–25% cap (from 15%), still	Counter — small concession,

	extends to PAC/Retention, 'good faith claimed' standard	excludes PAC, still requires agreed/adjudicated	conditional
8	EPC §16.3B / Schedule D trigger: any uncured failure, insolvency not required	See item 2 — insolvency OR adjudicated finding, not unconditional	Counter — same instrument as §1.2
9	EPC §9.2 / DLP: 3 months → 12 months	Hold at 3 months; 6 months absolute maximum as last-resort concession	Hold — last-resort concession only
10	(Implicit) LTSA §8.5(e) sole remedy blocking warranty claims caused by response-time failure	Accept — carve-out added (see §1.2)	Accept — zero-cost fix
11	(Implicit) Insurance adequacy underlying item 1	Increase PI €2M → €5M	Offer — good-faith gesture
12	EPC §7.1A Performance Guarantee: 6 → 12 months post-PAC	Already matched — current EPC §7.1A already reads 12 months post-PAC	Already resolved

Net negotiating logic: items 3, 4, 6, 9 held firm on industry-standard grounds; items 1, 2, 8 answered with a purpose-built counter-instrument rather than the client's mechanic; items 5, 7 are conditional trade chips; items 10, 11 are low/no-cost concessions offered proactively.